Block practice · Motivating staff

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Why motivating and keeping staff matters

Financial and non-financial methods of motivation

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Practice workbook · Why motivating and keeping staff matters

The importance of motivation: attracting and retaining employees, productivity, and reasons for paying above the minimum wage.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S2-22

1. Question 2 · part e · 3 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

2 During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*. **(1)**

(b) State **one** way *Can Culleretes* might add value to its business. **(1)**

(c) Explain **one** method a business could use to encourage repeat purchase of its products. **(3)**

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1. Question 2 · part e · 3 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

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(d) Explain **one** disadvantage of using personal savings as a source of finance for a business.

(3)

(e) Explain **one** benefit for a business of motivating its employees.

(3)

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Turn over ▶

1. Question 2 · part e · 3 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

Can Culleretes is looking to improve its revenue and is considering two options:

Option 1: increase advertising

Option 2: opening for breakfast.

(f) Justify which **one** of these two options *Can Culleretes* should choose.

(9)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a only.

2 *Huawei* is one of many businesses that manufacture smartphones and tablets. It therefore needs to keep and retain its staff, so that production is continuous. This will help to maintain its customers.

(a) State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage.

(1)

(b) State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand.

(1)

(c) Explain **one** reason why having good public relations is important to a business.

(3)

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part d · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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1 *Cadbury* was founded in 1842 when John Cadbury opened a shop in Birmingham in the UK. The shop sold cocoa and drinking chocolate. *Cadbury* is now one of the major chocolate manufacturers in the world.

In 1918 the first overseas *Cadbury* factory was opened in Hobart, Tasmania in Australia. Another factory opened in South Africa in 1938. *Cadbury* chocolates are sold across the world and other factories have been opened. *Cadbury* produces many well-known brands, such as Dairy Milk, Buttons and Crunchie. It also produces ice cream and cakes.

Cadbury is now part of *Mondelez*, the largest snack business in the world.

(a) (i) Which **one** of the following types of business ownership would usually be formed by a business of two solicitors?

Select **one** answer.

(1)

- ☒ **A** Sole trader
- ☒ **B** Partnership
- ☒ **C** Public Corporation
- ☒ **D** Public Limited Company

(ii) Which **one** of the following would show a business its cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** Cash inflows and outflows
- ☒ **B** Money owed to its creditors
- ☒ **C** Net cash flow
- ☒ **D** Opening and closing balances

O1.levels.COM SCHOOL

3. Question 1 · part d · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In the UK an 850 gram *Cadbury* Dairy Milk Bar costs £9.99 (GBP).

The exchange rate is £1.00 = 20.58 ZAR (South African Rand)

(iii) Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars?

Select **one** answer.

(1)

- ☒ **A** 41.60
- ☒ **B** 205.60
- ☒ **C** 411.19
- ☒ **D** 411.60

(iv) Which **one** of the following functional areas would a skilled machinist work in?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Marketing

A *Cadbury* Crunchie Bar normally costs £0.95. It is on special offer for £0.87.

(v) What is the percentage decrease in the price of the *Cadbury* Crunchie?

Select **one** answer.

(1)

- ☒ **A** 0.92%
- ☒ **B** 1.09%
- ☒ **C** 8.00%
- ☒ **D** 8.42%

(vi) Which **one** of the following is an example of secondary market research?

Select **one** answer.

(1)

- ☒ **A** Telephone Survey
- ☒ **B** Market Report
- ☒ **C** Test Marketing
- ☒ **D** Focus Group

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3. Question 1 · part d · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) Define the term **personal savings**.

(1)

(c) Define the term **sole trader**.

(1)

(d) State **one** reason why *Cadbury* might pay its UK employees above the minimum wage.

(1)

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3. Question 1 · part d · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Cadbury makes a chocolate cake for £6.50. A tax of 20% is added to give the selling price.

(e) Calculate the selling price of the chocolate cake. You are advised to show your working.

(2)

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(f) Explain **one** advantage for businesses if banks reduce their interest rates.

(3)

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3. Question 1 · part d · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

M&M started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

M&M is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

Figure 1 Maslow's Hierarchy of Needs

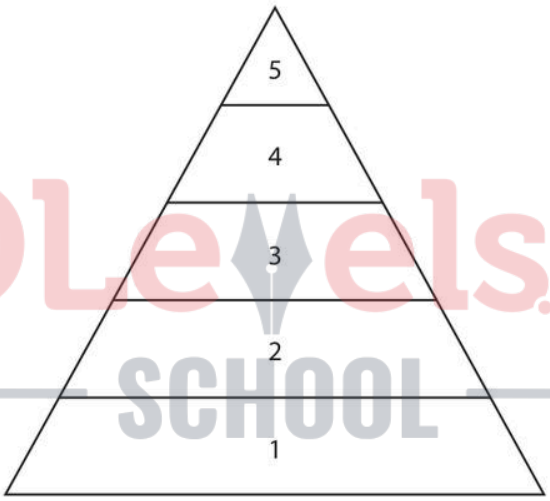


Figure 1

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

4. Question 1 · part d · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

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(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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4. Question 1 · part d · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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In 2020 *M&M* sold 288,302 tractors. The number of tractors sold in 2021 was 12% higher.

(v) What would be the number of tractors sold in 2021?

Select **one** answer.

(1)

- ☒ **A** 253,706
- ☒ **B** 300,302
- ☒ **C** 322,898
- ☒ **D** 322,910

A shop owner wanted to gain information from potential customers before opening his shop.

(vi) Which **one** of the following market research methods would the shop owner use?

Select **one** answer.

(1)

- ☒ **A** Market segment
- ☒ **B** Primary research
- ☒ **C** Research and development
- ☒ **D** Secondary research

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4. Question 1 · part d · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) Define the term **public corporation**.

(1)

(c) Define the term **qualitative market research**.

(1)

(d) State **one** reason why it is important for *M&M* to motivate its employees.

(1)

In 2019 *M&M* borrowed 448 million Indian Rupees. In 2020 it borrowed 900 million Indian Rupees.

(e) Calculate, to two decimal places, the percentage increase from 2019 to 2020. You are advised to show your working.

(2)

.....%

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 2 · part b · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part b only.

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2 (a) State **one** advantage for *PPS* of keeping its customers loyal.

(1)

(b) State **one** reason why *PPS* motivates its employees.

(1)

(c) Explain **one** impact on a business of ineffective communication.

(3)

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5. Question 2 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part d only.

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1 *TUI* is a holiday business that has over 100 years of experience. It offers customers a variety of holidays including staying in hotels, and river and ocean-going cruises. There are many extras that it offers to holiday makers including: car hire, extensions to the holiday and arranging day trips at all its holiday destinations.

The business is well known and flies its customers to over 180 destinations around the world, including Greece, Turkey and Spain. It has 1,600 travel agencies and 27 million customers. Holidays can be booked by visiting a travel agency or online.

TUI has holidays to meet the needs of all its customers: families, children, couples and those with disabilities.

(a) (i) Which **one** of the following is a non-financial objective?

Select **one** answer.

(1)

- ☒ **A** Generating wealth
- ☒ **B** Personal satisfaction
- ☒ **C** Maximising profit
- ☒ **D** Regular income

(ii) Which **one** of the following would be a benefit to a business delaying paying its suppliers?

Select **one** answer.

(1)

- ☒ **A** Improved cash flow
- ☒ **B** Increased profit
- ☒ **C** A reduction in the amount of interest paid
- ☒ **D** Improved relationship with suppliers

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part d only.

Jewellery For You is a jewellery business making earrings and necklaces from stones and pebbles found on local beaches. It makes 240 items a month.

Price per item	€27
Variable costs per item	€12
Fixed costs per month	€600

(iii) Which **one** of the following would be the total monthly cost for Jewellery For You?

Select **one** answer.

(1)

- ☒ **A** €924
- ☒ **B** €3 480
- ☒ **C** €6 480
- ☒ **D** €7 080

(iv) Which **one** of the following is a reason why a business would produce a cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** It is a legal requirement that a business has a cash flow forecast
- ☒ **B** A cash flow forecast ensures that the business will be successful
- ☒ **C** It can help a bank decide whether it should lend money to a business
- ☒ **D** To show the profit and loss of a business in the past six months

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part d only.

A 7-day holiday in Thailand in October 2023 cost £998.00.

The exchange rate is £1 = 40.91 Thai Baht (THB).

(v) Which **one** of the following was the cost of the holiday in Thai Baht?

Select **one** answer.

(1)

- ☒ **A** 24.40
- ☒ **B** 1 038.91
- ☒ **C** 40 828.18
- ☒ **D** 40 869.09

(vi) Which **one** of the following is a reason why a sole trader would want to become a private limited company?

Select **one** answer.

(1)

- ☒ **A** The business can keep financial records confidential
- ☒ **B** The business will have unlimited liability
- ☒ **C** Shareholders are liable for all debts
- ☒ **D** Increased ability to raise finance

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part d only.

(b) Define the term **franchise**.

(1)

(c) Define the term **profit**.

(1)

(d) State **one** reason why *TUI* pays its employees above the minimum wage.

(1)

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part d only.

TUI is charging an adult £725.92 for a week in Cyprus. If booked online there is a discount of 12.5%.

(e) Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. You are advised to show your working.

(2)

£.....

(f) Explain **one** of the factors in Herzberg's motivational theory.

(3)

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6. Question 1 · part d · 1 mark · Working and answer

Working and answer

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7. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

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1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

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7. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

(iii) Which **one** of the following is a role of the human resources department?

Select **one** answer.

(1)

- ☒ **A** Reducing costs
- ☒ **B** Designing products
- ☒ **C** Customer service
- ☒ **D** Recruiting employees

(iv) Which **one** of the following is a benefit to a shareholder of having limited liability?

Select **one** answer.

(1)

- ☒ **A** Choosing who can buy shares
- ☒ **B** May build a better relationship with suppliers
- ☒ **C** Own possessions are not at risk
- ☒ **D** Employee motivation will increase

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7. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

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Four Fitness is considering introducing sports drinks to sell to its customers and to do this it needs to hire a fridge to store the sports drinks. To decide whether it is a good business decision, it needs to work out the break-even level of output.

Figure 1 shows some financial data to assist this decision.

	€
Fixed costs	280
Variable cost per unit	0.70
Revenue per unit	1.50

Figure 1

(v) Which **one** of the following is the break-even level of output?

Select **one** answer. (1)

- ☒ **A** 280
- ☒ **B** 350
- ☒ **C** 420
- ☒ **D** 616

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7. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

Figure 2 is a financial extract from a gym equipment business that supplies *Four Fitness*.

	€
Total revenue	132 165
Total labour costs	54 000
Total material costs	17 000
Other costs	17 400

Figure 2

(vi) Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business?

Select **one** answer. (1)

☒ **A** It made a loss of €88 400

☒ **B** It made a loss of €61 165

☒ **C** It made a profit of €43 765

☒ **D** It made a profit of €78 165

(b) Define the term **trade bloc**. (1)

(c) Define the term **job production**. (1)

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7. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

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(d) State **one** reason why *Four Fitness* would pay its employees more than the minimum wage.

(1)

As part of its 'social activities' *Four Fitness* is planning an evening event promoting healthy eating and living. The price of a ticket is €35. *Four Fitness* members will be given a 7% discount.

(e) Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working.

(2)

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(f) Explain **one** impact to a business of providing fringe benefits to employees.

(3)

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7. Question 1 · part d · 1 mark · Working and answer

Working and answer

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8. Question 1 · part d · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part d only.

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1 In 1971 *Starbucks* opened its first coffee shop in Seattle, Washington, US. Since then, it has experienced significant growth with more than 32,000 stores operating across 80 countries. It sells coffee and food products including cakes, biscuits and sandwiches. *Starbucks* has a mission 'To inspire and nurture the human spirit – one person, one cup and one neighbourhood at a time.'

Starbucks refers to its employees as 'partners' as they encourage people to support each other and work to achieve common goals. It offers the opportunity for partners to develop their skills and knowledge of the coffee shop market, by starting as baristas, then as coffee masters and finally as coffee shop managers.

(a) (i) Which **one** of the following is a secondary sector activity?

Select **one** answer.

(1)

- ☒ **A** Coal mining
- ☒ **B** Engineering
- ☒ **C** Farming
- ☒ **D** Insurance

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Selling assets
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Bank loan

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8. Question 1 · part d · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part d only.

Starbucks has special offers to encourage customers to purchase more coffee.

A latte usually costs $5.90 (US Dollars) and is now on special offer at $5.35.

(iii) Which **one** of the following is the percentage decrease in the price of a latte?

Select **one** answer.

(1)

- ☒ **A** 0.55%
- ☒ **B** 2.94%
- ☒ **C** 9.32%
- ☒ **D** 10.28%

(iv) Which **one** of the following is the minimum number of owners in a partnership?

Select **one** answer.

(1)

- ☒ **A** 1
- ☒ **B** 2
- ☒ **C** 20
- ☒ **D** 50

An online book club charges its members £4.49 (GBP) a month.

The exchange rate is £1.00 to 92.09 Indian Rupees (INR).

(v) Which **one** of the following would be the monthly price in Rupees to be a member in India?

Select **one** answer.

(1)

- ☒ **A** 413.48
- ☒ **B** 1105.08
- ☒ **C** 4 134.84
- ☒ **D** 4 961.81

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8. Question 1 · part d · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part d only.

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(vi) Which **one** of the following is an external source of finance for managing immediate cash flow problems?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Overdraft

(b) Define the term **social enterprise**.

(1)

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(c) Define the term **tertiary sector**.

(1)

(d) State **one** reason why *Starbucks* wants to retain its employees.

(1)

8. Question 1 · part d · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part d only.

In 2022 the worldwide coffee shop industry had a total revenue of $165.70 billion.

It is estimated that by 2030 the percentage increase in total revenue is expected to be 38.25%.

(e) Calculate, to two decimal places, the estimated total revenue in 2030. You are advised to show your working.

(2)

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(f) Explain **one** disadvantage for a business of training its employees.

(3)

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8. Question 1 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 2 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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2 *Yellow* has introduced a new product, 'Design Your Own Shirt'. Customers can choose the colour, sleeve length and number of pockets.

(a) State **one** benefit to *Yellow of* introducing this product.

(1)

(b) State **one** way *Yellow* could carry out market research.

(1)

(c) Explain **one** benefit to a business of retaining its employees.

(3)

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(d) Explain **one** advantage for a business of using targeted advertising online.

(3)

9. Question 2 · part c · 3 marks · Working and answer

Working and answer

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10. Question 2 · part c · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

2 All 18,000 *LEGO* employees are full-time.

(a) State **one** financial objective for *LEGO*.

(1)

(b) State **one** possible reason why *LEGO* does not recruit casual employees.

(1)

(c) Explain **one** reason why a business would pay its employees above the minimum wage.

(3)

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10. Question 2 · part c · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

(d) Explain **one** reason why product trials are important to a business.

(3)

(e) Explain **one** reason why a business complies with health and safety legislation.

(3)

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10. Question 2 · part c · 3 marks · Working and answer

Working and answer

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

3 (a) Define the term **inventory**.

(1)

(b) Outline **one** method that *TBTS* might use to respond to greater competition.

(2)

In 2021, a *TBTS* toy shop had current liabilities of 36 000 SGD and current assets of 216 000 SGD.

(c) Calculate the current ratio for 2021. You are advised to show your working.

(2)

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

(d) Analyse the importance of *TBTS* motivating its employees.

(6)

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11. Question 3 · part d · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

TBTS is planning to introduce a new range of toys for four-year-old children. It will need to carry out some research from its customers, including children and parents, to find out what they want.

TBTS is considering two options:

Option 1: hand out questionnaires to customers that visit the shops

Option 2: hold focus group meetings with parents and their children.

(e) Justify which **one** of these two options *TBTS* should choose.

(9)

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11. Question 3 · part d · 6 marks · Working and answer

Working and answer

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12. Question 1 · part g · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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1 *Aude Rose* is a flower shop in Paris, France. It was set up by Aude Anglaret after she graduated with a qualification in floristry. It opened a shop in 2009 in the outskirts of Paris. Since then it has gone from strength to strength increasing its market share. To meet this increase in demand it has closed its first shop and opened a larger one in the centre of Paris with a higher rent and a possible increase in customers. It currently employs four florists. *Aude Rose* has been recognised for its high-quality flower arrangements that have been seen in several wedding magazines.

(a) (i) Which **one** of the following describes a minimum wage?

Select **one** answer.

(1)

- ☒ **A** Fixed amount per year and paid monthly
- ☒ **B** The lowest amount a business can legally pay its employees
- ☒ **C** Payment made to an employee for working additional hours
- ☒ **D** Payment made to an employee for reaching a target

(ii) Which **one** of the following describes the cash cow category in the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following would give a business a negative cash flow?

Select **one** answer.

(1)

- ☒ **A** Cash inflow is greater than cash outflow
- ☒ **B** Costs are greater than profits
- ☒ **C** Profits are greater than costs
- ☒ **D** Cash outflow is greater than cash inflow

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12. Question 1 · part g · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(iv) Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Person specification
- ☒ **C** Application form
- ☒ **D** Curriculum vitae

To wrap its flowers *Aude Rose* buys 150 metres of wrapping paper from London, England every week at a cost of £0.46 per metre.

In October 2022 the exchange rate was £1 = €1.15

(v) Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper?

Select **one** answer.

(1)

- ☒ **A** €79.35
- ☒ **B** €276.00
- ☒ **C** €317.40
- ☒ **D** €396.75

Aude Rose provides flowers for large events. The most popular is a selection of traditional flowers selling for €65. The cost of making this selection of flowers is €42.

(vi) Which **one** of the following is the markup for a selection of traditional flowers?

Select **one** answer.

(1)

- ☒ **A** 54.76%
- ☒ **B** 64.62%
- ☒ **C** 182.61%
- ☒ **D** 282.61%

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12. Question 1 · part g · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(b) Define the term **economies of scale**.

(1)

(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *Aude Rose* of using just-in-time (JIT) production.

(1)

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Aude Rose has fixed costs of €50 000 a year with a selling price of €50 and a variable cost of €10 per bunch of flowers sold.

(e) Calculate how many bunches of flowers *Aude Rose* will have to sell to break-even. You are advised to show your working.

(2)

..... bunches of flowers

12. Question 1 · part g · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(f) Explain **one** reason why a business might fail.

(3)

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12. Question 1 · part g · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) Analyse the importance to Aude Anglaret of motivating her employees.

(6)

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(Total for Question 1 = 20 marks)

12. Question 1 · part g · 6 marks · Working and answer

Working and answer

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13. Question 1 · part g · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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13. Question 1 · part g · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

Café Pinch sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

Café Pinch wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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P 7 5 8 4 2 A 0 4 2 0

13. Question 1 · part g · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(b) Define the term **variable cost**.

(1)

(c) Define the term **niche marketing**.

(1)

(d) State **one** way *Café Pinch* can react to external social factors affecting its business.

(1)

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13. Question 1 · part g · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Customers who buy a ham Ciabatta for €7.50, a sweet waffle for €2.90 and a coffee at €3.60 would pay a total of €14.00. A lunchtime special deal offers them a 5% discount.

(e) Calculate what a customer would pay for these three items after the discount is applied. You are advised to show your working.

(2)

€ .....

(f) Explain **one** advantage to a start-up business of using a venture capitalist.

(3)

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13. Question 1 · part g · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(g) Analyse the importance to Kumaran, the owner of *Café Pinch*, of having motivated employees.

(6)

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(Total for Question 1 = 20 marks)

13. Question 1 · part g · 6 marks · Working and answer

Working and answer

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14. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

3 *Premier Inn* employees play an important part in the running of its hotels and providing a good service. If they provide a good service, it means guests may return.

(a) Define the term **net cash flow**.

(1)

(b) Outline **one** possible reason why prospective employees at *Premier Inn* complete an application form.

(2)

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Employees of *Premier Inn* earn £15.27 per hour when working overtime.

(c) Calculate, to two decimal places, what an employee would earn if they worked six hours of overtime. You are advised to show your working.

(2)

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12

P 7 5 9 6 1 R A 0 1 2 2 0

14. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

(d) Analyse the benefits for *Premier Inn* of motivating its employees.

(6)

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14. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

Premier Inn has employees across the world. When a new position becomes available, *Premier Inn* must make sure that the recruitment method used is the correct one for the vacant position. It is considering the following two options:

Option 1: internal recruitment from within *Premier Inn* hotels around the world

Option 2: external recruitment, by using an employment agency.

(e) Justify which **one** of these two options *Premier Inn* should choose.

(9)

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14

P 7 5 9 6 1 R A 0 1 4 2 0

14. Question 3 · part d · 6 marks · Working and answer

Working and answer

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Practice workbook · Financial and non-financial methods of motivation

Remuneration, bonus, commission, promotion and fringe benefits, plus job rotation, job enrichment and autonomy: meanings, effects and choosing between them.

31 question parts: 1 worked-example retry and 30 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S2-25

1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

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1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

OLevels.com SCHOOL

(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

(iii) Which **one** of the following is a role of the human resources department?

Select **one** answer.

(1)

- ☒ **A** Reducing costs
- ☒ **B** Designing products
- ☒ **C** Customer service
- ☒ **D** Recruiting employees

(iv) Which **one** of the following is a benefit to a shareholder of having limited liability?

Select **one** answer.

(1)

- ☒ **A** Choosing who can buy shares
- ☒ **B** May build a better relationship with suppliers
- ☒ **C** Own possessions are not at risk
- ☒ **D** Employee motivation will increase

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1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

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Four Fitness is considering introducing sports drinks to sell to its customers and to do this it needs to hire a fridge to store the sports drinks. To decide whether it is a good business decision, it needs to work out the break-even level of output.

Figure 1 shows some financial data to assist this decision.

	€
Fixed costs	280
Variable cost per unit	0.70
Revenue per unit	1.50

Figure 1

(v) Which **one** of the following is the break-even level of output?

Select **one** answer. (1)

- ☒ **A** 280
- ☒ **B** 350
- ☒ **C** 420
- ☒ **D** 616

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1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

Figure 2 is a financial extract from a gym equipment business that supplies *Four Fitness*.

	€
Total revenue	132 165
Total labour costs	54 000
Total material costs	17 000
Other costs	17 400

Figure 2

(vi) Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business?

Select **one** answer. (1)

- ☒ **A** It made a loss of €88 400
- ☒ **B** It made a loss of €61 165
- ☒ **C** It made a profit of €43 765
- ☒ **D** It made a profit of €78 165

(b) Define the term **trade bloc**. (1)

(c) Define the term **job production**. (1)

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P 7 8 7 9 4 R A 0 6 2 0

1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

(d) State **one** reason why *Four Fitness* would pay its employees more than the minimum wage.

(1)

As part of its 'social activities' *Four Fitness* is planning an evening event promoting healthy eating and living. The price of a ticket is €35. *Four Fitness* members will be given a 7% discount.

(e) Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working.

(2)

€ .....

(f) Explain **one** impact to a business of providing fringe benefits to employees.

(3)

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P 7 8 7 9 4 R A 0 7 2 0

7

Turn over ▶

1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

Gianni Polvani's span of control is 14.

(g) Analyse the effectiveness of the wide span of control used by Gianni Polvani.

(6)

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(Total for Question 1 = 20 marks)

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1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) State **one** non-financial method of motivating staff at *Lavender*.

(1)

(b) State **one** function of the finance area in *Lavender*.

(1)

(c) Explain **one** way a business can use penetration pricing.

(3)

(d) Explain **one** reason why a business would have a short span of control.

(3)

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 2 · part a · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a only.

2 *Backyard Shoez* is now planning to sell shoes to men and children as well as ladies.

(a) State **one** fringe benefit that *Backyard Shoez* can offer its employees.

(1)

(b) State **one** benefit to *Backyard Shoez* of using off-the-job training.

(1)

(c) Explain **one** reason why many businesses have a human resource functional area.

(3)

(d) Explain **one** method of above the line promotion a business could use.

(3)

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P 5 9 0 0 5 R A 0 8 1 6

3. Question 2 · part a · 1 mark · Working and answer

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4. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

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1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

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4. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

Figure 1 shows the product life cycle diagram.

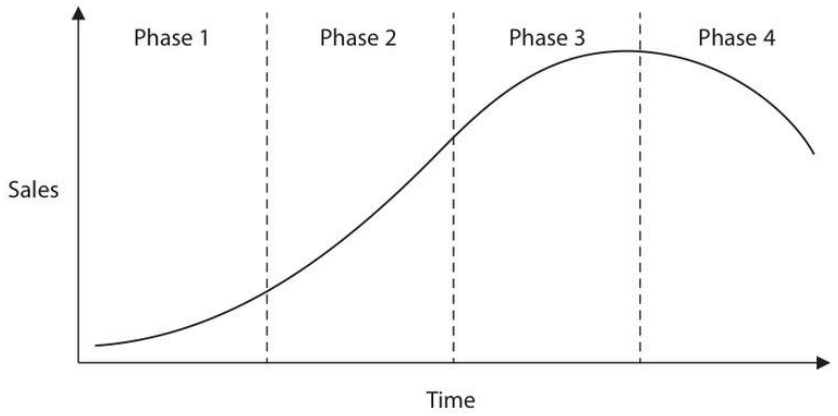


Figure 1

(iv) Which **one** is the correct label for Phase 2? (1)

Select **one** answer.

- ☒ **A** Growth
- ☒ **B** Decline
- ☒ **C** Introduction
- ☒ **D** Maturity

Loaf charges £165 for its day-long 'Seafood Masterclass' course. The cost to *Loaf* of running this course is £66.

(v) What mark up has *Loaf* applied to this course? (1)

Select **one** answer.

- ☒ **A** 99%
- ☒ **B** 150%
- ☒ **C** 231%
- ☒ **D** 250%

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4. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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5. Question 1 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

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1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

- ☒ **A** Provision of services
- ☒ **B** Exchange of goods
- ☒ **C** Extraction of raw materials
- ☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

- ☒ **A** The person can buy supplies from any supplier
- ☒ **B** The person is given support from an established business
- ☒ **C** The person is guaranteed a set wage
- ☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

- ☒ **A** 6.63%
- ☒ **B** 15.09%
- ☒ **C** 33.75%
- ☒ **D** 50.94%

OLevels.COM SCHOOL

5. Question 1 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

Figure 1 shows the cash flow of a business for a month.

	(£)
Opening balance	1 020 000
Cash inflow	360 000
Cash outflow	400 000

Figure 1

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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5. Question 1 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Define the term **commission**.

(1)

(c) Define the term **revenue**.

(1)

(d) State **one** possible reason why *HRMW* has a short span of control.

(1)

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Turn over

5. Question 1 · part b · 1 mark · Working and answer

Working and answer

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6. Question 2 · part a · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a only.

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2 *Emirates* wants to encourage its employees to remain with the company and offers them incentives to do so. It offers all of its passengers a loyalty programme.

(a) State **one** non-financial method *Emirates* could use to motivate its employees.

(1)

(b) State **one** reason why *Emirates* has a loyalty programme for its passengers.

(1)

(c) Explain **one** benefit for a business of having full-time employees.

(3)

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6. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 3 · part a · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a only.

3 (a) Define the term **remuneration**.

(1)

(b) Outline **one** reason why *NOF* would choose to use seasonal staff when harvesting its products.

(2)

NOF is looking to expand its product range by making and selling tubs of ice cream.

A tub of ice cream will sell for £2.50.

Variable costs will be £1.10 per tub of ice cream with fixed costs of £77 per day.

(c) Calculate the number of tubs of ice cream *NOF* will have to sell each day to break-even. You are advised to show your working.

(2)

.....Tubs of ice cream

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7. Question 3 · part a · 1 mark · Working and answer

Working and answer

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8. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

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1 *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

Artify Studio provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

Artify Studio is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

(1)

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

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8. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

(1)

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

(1)

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

(1)

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

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8. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

Artify Studio imports sets of acrylic paint from Malaysia at a cost of 8.50 Malaysian Ringgit (MYR) per set.

The exchange rate is 1 MYR = 0.33 S$ (SGD).

(vi) Which **one** of the following would *Artify Studio* pay in SGD if they imported 15 sets of paints?

(1)

Select **one** answer

- ☒ **A** 2.81
- ☒ **B** 4.95
- ☒ **C** 15.00
- ☒ **D** 42.08

(b) Define the term **diseconomies of scale**.

(1)

(c) Define the term **job production**.

(1)

(d) State **one** financial method of motivation *Artify Studio* could use to motivate its employees.

(1)

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8. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

Artify Studio offers a 12% discount to parents if they book the 'Duo Parent and Child Art Camp' and the 'Children's Illustration Workshop' at the same time. The combined price for both courses before being discounted is S$285.

(e) Calculate the discounted cost of booking both courses at the same time.

You are advised to show your working.

(2)

S$ .....

(f) Explain **one** measure a business can use to judge its success.

(3)

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8. Question 1 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 2 · part a · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) State **one** fringe benefit *Aude Rose* could offer its employees.

(1)

(b) State **one** reason why branding is important to *Aude Rose*.

(1)

(c) Explain **one** impact of ineffective communication on a business.

(3)

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9. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 3 · part a · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a only.

3 (a) Define the term **fringe benefits**.

(1)

(b) Outline **one** way *Irsi Chocolatier* could keep customer loyalty.

(2)

Irsi Chocolatier has current assets of €26 000 and current liabilities of €14 852.

(c) Calculate, to two decimal places, the current ratio. You are advised to show your working.

(2)

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10. Question 3 · part a · 1 mark · Working and answer

Working and answer

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11. Question 3 · part a · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

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3 In 2021 *M&M* moved from 20th to 2nd place as one of India's best workplaces.

(a) Define the term **autonomy**.

(1)

(b) Outline **one** reason why *M&M* might locate a new factory near to a labour force.

(2)

In 2020 *M&M* had current assets of 3 400 million Indian Rupees and current liabilities of 900 million Indian Rupees.

(c) Calculate, to 2 decimal places the current ratio for 2020. You are advised to show your working.

(2)

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11. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 2 · part a · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a only.

2 (a) State **one** non-financial method *AWG* may use to motivate its employees.

(1)

(b) State **one** task of an *AWG* employee working in the human resources department.

(1)

(c) Explain **one** benefit of globalisation to a small business.

(3)

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12. Question 2 · part a · 1 mark · Working and answer

Working and answer

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13. Question 1 · part a.i · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a.i only.

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1 *Saha* is a small business in Türkiye (formerly known as Turkey) that opened in 2020 with 15 employees. It designs and manufactures robots which are used in hospitals, hotels and restaurants. In hospitals its robots are used to move medical supplies between departments. In hotels and restaurants, the robots are used to welcome customers as they arrive and deliver food and drinks to hotel rooms and restaurant tables. *Saha* provides a seven day a week customer service for all businesses buying its robots.

Many new businesses are entering the global robot market and are competing for market share. Competitors in Türkiye include *NIO, Zoox* and *Vention*.

Saha has ambitious growth plans and has started to design robots that will be used in the home to help people with cleaning, shopping, security and entertainment. It aims to become a multinational business within five years to manufacture robots in all continents of the world.

(a) (i) Which **one** of the following is a financial method used to motivate employees?

Select **one** answer. (1)

- ☒ **A** Job enrichment
- ☒ **B** Job rotation
- ☒ **C** Autonomy
- ☒ **D** Remuneration

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(ii) Which **one** of the following is an example of secondary research?

Select **one** answer. (1)

- ☒ **A** Government reports
- ☒ **B** Surveys
- ☒ **C** Focus groups
- ☒ **D** Observations

13. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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14. Question 1 · part c · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

OLevels.COM SCHOOL

(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

14. Question 1 · part c · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

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CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

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14. Question 1 · part c · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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Figure 1 is a financial extract from *CCT*.

	CYN
Total revenue	1 444 304
Total labour costs	750 288
Total material costs	234 465
Other costs	46 893

Figure 1

(vi) Using **Figure 1** which **one** of the following is correct for *CCT*?

Select **one** answer

(1)

- ☒ **A** It made a loss of 1 031 646 CYN
- ☒ **B** It made a loss of 412 658 CYN
- ☒ **C** It made a profit of 412 658 CYN
- ☒ **D** It made a profit of 1 031 646 CYN

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(b) Define the term **branding.**

(1)

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.....

.....

(c) Define the term **autonomy.**

(1)

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Turn over ▶

14. Question 1 · part c · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** method of secondary market research *CCT* could use to collect market data.

(1)

In 2024 *CCT* had current assets of 561 258 CYN and current liabilities of 233 098 CYN.

(e) Calculate, to two decimal places, the current ratio for 2024. You are advised to show your working.

(2)

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(f) Explain **one** benefit to a business owner of operating as a private limited company.

(3)

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14. Question 1 · part c · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

15. Question 2 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) State **one** financial method of motivation *CCT* could use with its employees.

(1)

(b) State **one** benefit to *CCT* of satisfying customer needs.

(1)

(c) Explain **one** way a business could increase its profit.

(3)

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15. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

16. Question 1 · part b · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

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(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

16. Question 1 · part b · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Rabanne has promotional offers to encourage customers to buy its perfumes and aftershaves.

A customer buying Pour Homme and Lady Million together will receive a 12% promotional discount.

Pour Homme is priced at £85.00 (GBP) and Lady Million is priced £86.00 (GBP).

(iii) Which **one** of the following is the price of buying both items with the promotional discount?

Select **one** answer.

(1)

- ☒ **A** £129.65
- ☒ **B** £150.48
- ☒ **C** £160.80
- ☒ **D** £171.00

(iv) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is more up to date method of research
- ☒ **D** It is only carried out by market-research agencies

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16. Question 1 · part b · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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Figure 1 shows the monthly cash flow information for a business.

Opening balance	€76 000
Cash inflow	€54 000
Cash outflow	€34 000

Figure 1

(v) Which **one** of the following is the closing balance for this month?

Select **one** answer.

(1)

- ☒ **A** € 88 000
- ☒ **B** € 96 000
- ☒ **C** €110 000
- ☒ **D** €130 000

OLevels.COM SCHOOL

An American bank's interest rates have changed from 4.5% to 6.0%.

(vi) Which **one** of the following is a likely effect of this change for American businesses?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Decrease in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(b) Define the term **autonomy**.

(1)

.....

.....

(c) Define the term **qualitative data**.

(1)

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.....

16. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

17. Question 2 · part a · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 *Rabanne* aims to be the best provider of fragrances for men and women throughout the world. Therefore, it uses a range of methods to make sure it will achieve this aim.

(a) State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities.

(1)

(b) State **one** way *Rabanne* could measure its success as a business.

(1)

(c) Explain **one** reason why some businesses fail.

(3)

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17. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

18. Question 1 · part a.ii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a.ii only.

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1 *Ocean Vibes* is a boat tour business located in two tourists resorts in Portugal. During the tours, it collects wildlife research. The idea came from two young scientists, Alfredo and Pedro, who share a passion for the environment, boats and science. *Ocean Vibes* employs boat tour guides and a sales team in each of the two resorts.

The main goal of *Ocean Vibes* is to connect tourism with science. It offers dolphin and bird-watching tours to tourists and uses the boat tours to collect research data on the wildlife. Its tour guides are knowledgeable, passionate and respectful of the environment.

Customers can book the boat tours online or in the tourist resorts. They are encouraged to leave reviews on *Ocean Vibes'* website.
Every month *Ocean Vibes* provides a boat tour for students and researchers who wish to study the wildlife.

There are many other businesses offering boat tours in Portugal which makes competing in the industry a challenge.

(a) (i) Which **one** of the following is a role within the marketing function?

(1)

Select **one** answer.

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Sales promotion
- ☒ **D** Training employees

(ii) Which **one** of the following is an example of a non-financial method of motivation?

(1)

Select **one** answer.

- ☒ **A** Bonus
- ☒ **B** Remuneration
- ☒ **C** Fringe benefits
- ☒ **D** Job rotation

O Levels .COM SCHOOL

18. Question 1 · part a.ii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a.ii only.

(iii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Introduction
- ☒ **B** Cash cow
- ☒ **C** Dog
- ☒ **D** Star

(iv) Which **one** of the following is an example of a public service provided by the government?

(1)

Select **one** answer.

- ☒ **A** Clothing retailer
- ☒ **B** Police force
- ☒ **C** Mobile phone provider
- ☒ **D** Grocery store

A bank in Portugal charges *Ocean Vibes* 12% interest on overdrafts.

(v) Which **one** of the following is the interest charged by the bank on an overdraft of €1 400?

Select **one** answer.

(1)

- ☒ **A** €140
- ☒ **B** €168
- ☒ **C** €1 388
- ☒ **D** €1 568

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18. Question 1 · part a.ii · 1 mark · Working and answer

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19. Question 1 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

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1 *Samsung* is a South Korean public limited company. It designs and produces electronic products including mobile phones, televisions and laptops. It has factories and offices in 74 countries and employs more than 270,000 people worldwide.

Samsung is the leading producer of televisions. It competes with businesses such as *Apple* and *Xiaomi* in the smartphone market.

The aim of *Samsung* is 'to create superior products and services that contribute to a better society'. To achieve this, *Samsung* invests heavily in new technology and employs skilled engineers to design innovative products.

(a) (i) Which **one** of the following is a financial aim of a business?

(1)

Select **one** answer.

- ☒ **A** Survival
- ☒ **B** Independence
- ☒ **C** Control
- ☒ **D** Challenge

(ii) Which **one** of the following is a job in the secondary sector?

(1)

Select **one** answer.

- ☒ **A** Farmer
- ☒ **B** Grocery store manager
- ☒ **C** Restaurant waiter
- ☒ **D** Ship builder

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19. Question 1 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

Figure 1 shows the number of employees in three factories owned by a European business.

	Number of employees
Factory 1	210
Factory 2	125
Factory 3	140

Figure 1

The business pays remuneration of €120 per day for each employee.

(iii) Which **one** of the following is the total daily remuneration cost for the three factories?

Select **one** answer. (1)

- ☒ **A** €15 000
- ☒ **B** €16 800
- ☒ **C** €25 200
- ☒ **D** €57 000

(iv) Which **one** of the following is an advantage of a hierarchical organisational structure?

Select **one** answer. (1)

- ☒ **A** It is less expensive to operate than a flat structure
- ☒ **B** It has a short chain of command
- ☒ **C** It has more job promotion opportunities for its employees
- ☒ **D** It has a wide span of control

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19. Question 1 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

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Figure 2 shows a monthly cash flow statement for a business.

	€ (euros)
Opening balance	€76 000
Cash inflow	€59 000
Cash outflow	€34 000

Figure 2

(v) Which **one** of the following is the net cash flow for this month?

Select **one** answer.

(1)

- ☒ **A** €17 000
- ☒ **B** €25 000
- ☒ **C** €42 000
- ☒ **D** €101 000

(vi) Which **one** of the following best describes Taylor's motivational theory?

Select **one** answer.

(1)

- ☒ **A** Workers are motivated by money
- ☒ **B** Workers are motivated by esteem needs
- ☒ **C** Workers are motivated by hygiene factors
- ☒ **D** Workers are motivated by working in teams

(b) Define the term **job rotation**.

(1)

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19. Question 1 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

(c) Define the term **interest rate**.

(1)

(d) State **one** job that an employee of *Samsung* might do in the production department.

(1)

A factory took 20 hours to produce 1000 smartphones.

(e) Calculate the factory's productivity of smartphones per hour. You are advised to show your working.

(2)

..... smartphones per hour

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19. Question 1 · part b · 1 mark · Working and answer

Working and answer

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20. Question 2 · part c · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

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2 *Tata Motor Company* has employees across the world. It prides itself on looking after all its employees and ensuring that their needs are met.

(a) State **one** non-financial objective for *Tata Motor Company*.

(1)

(b) State **one** reason why *Tata Motor Company* would employ casual staff.

(1)

(c) Explain **one** reason why a business uses fringe benefits.

(3)

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(d) Explain **one** reason why a business would use job production.

(3)

20. Question 2 · part c · 3 marks · Working and answer

Working and answer

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21. Question 2 · part c · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 *Cadbury* wants to appoint committed people who will become valued employees.

(a) State **one** item of information that an applicant might include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*.

(1)

(b) State **one** item of information that may appear in a job description for a *Cadbury* Production Line Supervisor.

(1)

(c) Explain **one** method a business could use to motivate its employees.

(3)

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21. Question 2 · part c · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Explain **one** reason why a business has fully trained employees.

(3)

(e) Explain **one** reason why many manufacturing businesses use Kaizen in their factories.

(3)

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21. Question 2 · part c · 3 marks · Working and answer

Working and answer

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22. Question 3 · part b · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

3 *TUI* wants to maintain its reputation by continuing to provide quality holidays and experiences that customers will enjoy. This will encourage them to return to book future holidays with *TUI*.

(a) Define the term **multinationals**.

(1)

(b) Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell.

(2)

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22. Question 3 · part b · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

Figure 1 shows the current assets and current liabilities for *TUI* in 2022.

2022	€ '000
Current assets	7 758 152
Current liabilities	5 654 468

Figure 1

(c) Calculate, to two decimal places, the current ratio for *TUI* for 2022. You are advised to show your working.

(2)

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22. Question 3 · part b · 2 marks · Working and answer

Working and answer

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23. Question 2 · part f · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

2 *Backyard Shoez* is now planning to sell shoes to men and children as well as ladies.

(a) State **one** fringe benefit that *Backyard Shoez* can offer its employees.

(1)

(b) State **one** benefit to *Backyard Shoez* of using off-the-job training.

(1)

(c) Explain **one** reason why many businesses have a human resource functional area.

(3)

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(d) Explain **one** method of above the line promotion a business could use.

(3)

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23. Question 2 · part f · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

(e) Explain **one** way the product life cycle can be extended.

(3)

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23. Question 2 · part f · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

Backyard Shoez wants to motivate its employees. It is considering two options:

Option 1: bonus payments

Option 2: job enrichment.

(f) Justify which **one** of these two options *Backyard Shoez* should use.

(9)

(Total for Question 2 = 20 marks)

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23. Question 2 · part f · 9 marks · Working and answer

Working and answer

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24. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

3 *BEXIMCO*, the owner of *Yellow*, is a multinational business that operates in many areas, including chemical, engineering and financial services.

(a) Define the term **multinational business**.

(1)

(b) Outline **one** benefit to *BEXIMCO* of owning *Yellow*.

(2)

In 2017 *BEXIMCO* had a total revenue of £147.5 million. *Yellow*'s revenue for the same year was £10.68 million.

(c) Calculate, to 2 decimal places, the percentage of revenue that *Yellow* contributed to *BEXIMCO*'s total revenue.

(2)

..... %

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24. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Yellow prides itself on offering clothing at prices that all people can afford.

(d) Analyse why *Yellow* sells to all demographics.

(6)

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24. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Yellow is considering using non-financial rewards to help retain its employees.

It is considering **two** options:

Option 1: job enrichment

Option 2: job rotation.

(e) Justify which **one** of these two options *Yellow* should use.

(9)

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(Total for Question 3 = 20 marks)

24. Question 3 · part e · 9 marks · Working and answer

Working and answer

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25. Question 2 · part f · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

2 *TADS* is looking to expand by offering lessons in other musical instruments.

(a) State **one** reason why this could lead to the business failure of *TADS*.

(1)

(b) State **one** benefit to *TADS* of using casual staff to teach music lessons.

(1)

(c) Explain **one** purpose of market research for a business.

(3)

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25. Question 2 · part f · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** way to measure the success of a business.

(3)

(e) Explain **one** impact of an increase in interest rates on a business.

(3)

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25. Question 2 · part f · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

TADS currently pays its music teachers an hourly rate for every lesson they teach. It is looking to retain the teachers it currently employs.

It is considering the following two options:

Option 1: commission for each new pupil taught

Option 2: an increase in the hourly rate.

(f) Justify which **one** of these two options *TADS* should use.

(9)

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25. Question 2 · part f · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

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(Total for Question 2 = 20 marks)

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25. Question 2 · part f · 9 marks · Working and answer

Working and answer

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26. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.

3 *NEXT* works hard to remain competitive with other retailers of similar products.

(a) Define the term **economies of scale**.

(1)

(b) Outline **one** reason why *NEXT* uses special offers.

(2)

Of *NEXT*'s 43,000 employees, 70% are women.

(c) Calculate the number of women working at *NEXT*. You are advised to show your working.

(2)

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26. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.

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(d) Analyse why *NEXT* would want to remove any communication barriers within its organisation.

(6)

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26. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.

NEXT understands that some employees are motivated by non-financial methods and these may help with employee retention. To do this *NEXT* is considering the following two options:

Option 1: job rotation

Option 2: job enrichment.

(e) Justify which **one** of these two options *NEXT* should choose.

(9)

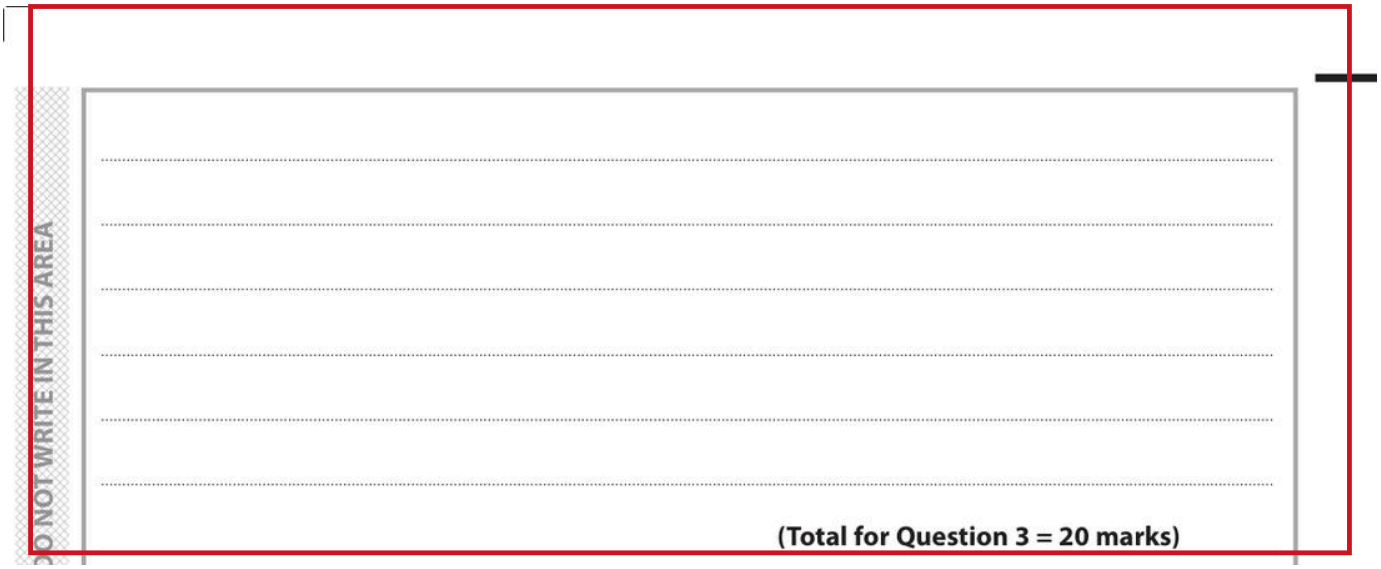
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26. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.



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26. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

27. Question 2 · part f · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.

2 *Huawei* is one of many businesses that manufacture smartphones and tablets. It therefore needs to keep and retain its staff, so that production is continuous. This will help to maintain its customers.

(a) State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage.

(1)

(b) State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand.

(1)

(c) Explain **one** reason why having good public relations is important to a business.

(3)

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27. Question 2 · part f · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.

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(d) Explain **one** benefit of being a multinational business.

(3)

(e) Explain **one** reason why secondary research would be used by a business.

(3)

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27. Question 2 · part f · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.

Huawei use a range of motivational methods to ensure its employees remain with them and do not leave. It has to make a decision on which of the following two options it will use. It is considering two methods:

Option 1: financial

Option 2: non-financial.

(f) Justify which **one** of these two options *Huawei* should choose.

(9)

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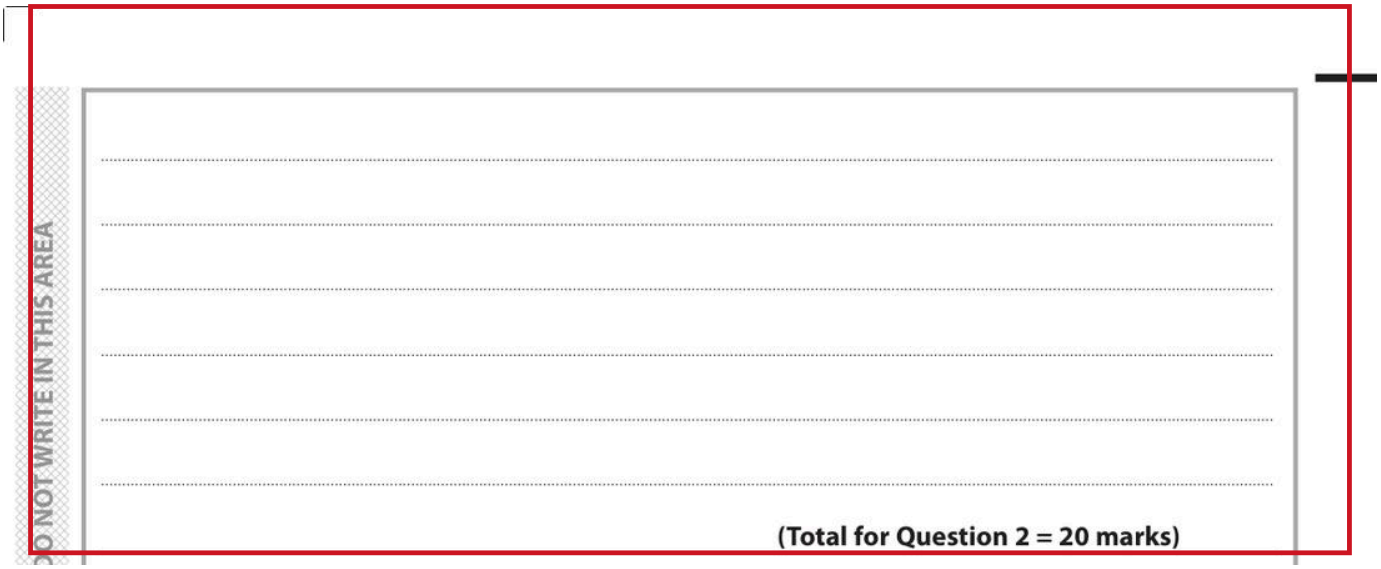
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27. Question 2 · part f · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.



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27. Question 2 · part f · 9 marks · Working and answer

Working and answer

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28. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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3 In 2021 *M&M* moved from 20th to 2nd place as one of India's best workplaces.

(a) Define the term **autonomy**.

(1)

(b) Outline **one** reason why *M&M* might locate a new factory near to a labour force.

(2)

In 2020 *M&M* had current assets of 3 400 million Indian Rupees and current liabilities of 900 million Indian Rupees.

(c) Calculate, to 2 decimal places the current ratio for 2020. You are advised to show your working.

(2)

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28. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(d) Analyse why *M&M* would want to compare its business with other vehicle manufacturers.

(6)

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28. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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M&M wants to retain the employees working in its business. To do this it is considering the following options.

Option 1: job rotation

Option 2: bonus.

(e) Justify which **one** of these two options *M&M* should use.

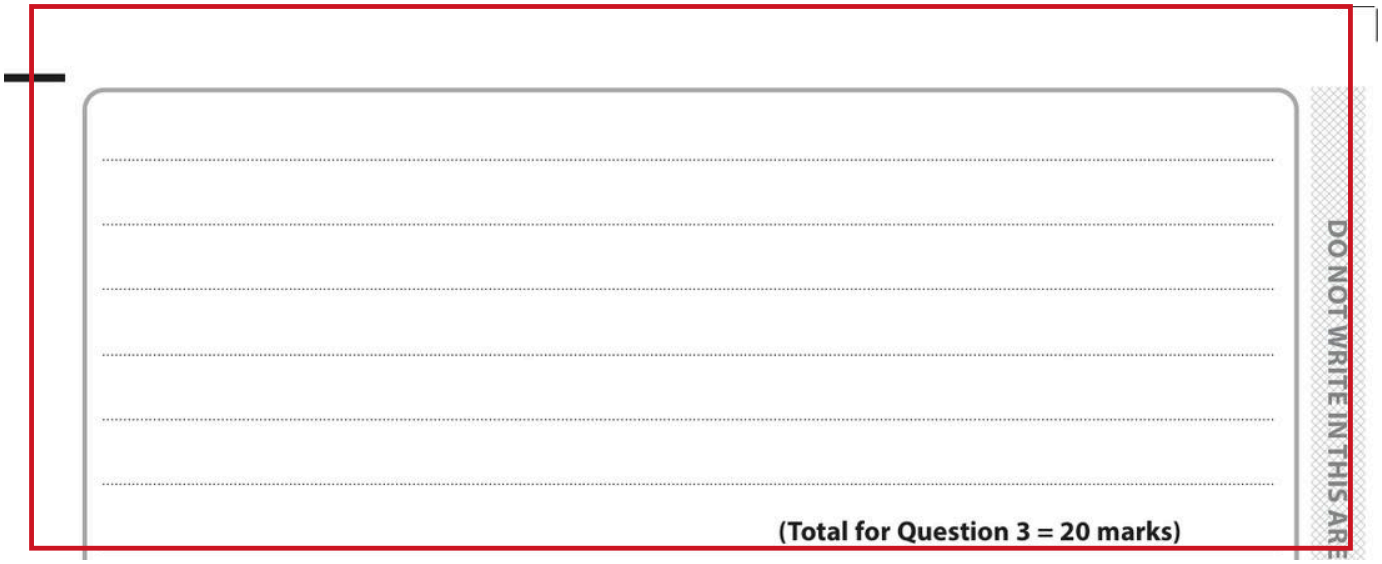
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28. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.



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28. Question 3 · part e · 9 marks · Working and answer

Working and answer

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29. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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3 *IKEA* aims to retain as many of its employees as possible.

(a) Define the term **overdraft**.

(1)

(b) Outline **one** reason why *IKEA* would read reports issued by governments.

(2)

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IKEA is keen to reward long-serving employees. An employee who has worked with *IKEA* for 10 years is given a bonus of 7.5% on top of their annual earnings of 177 070 SEK.

(c) Calculate, to two decimal places, the bonus this employee would receive. You are advised to show your working.

(2)

.....SEK

29. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

(d) Analyse why *IKEA* shortlists candidates for positions in its factories.

(6)

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29. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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To motivate employees working in its factories, *IKEA* is considering two motivational methods.

Option 1: bonus

Option 2: job enrichment.

(e) Justify which **one** of these two options *IKEA* should use.

(9)

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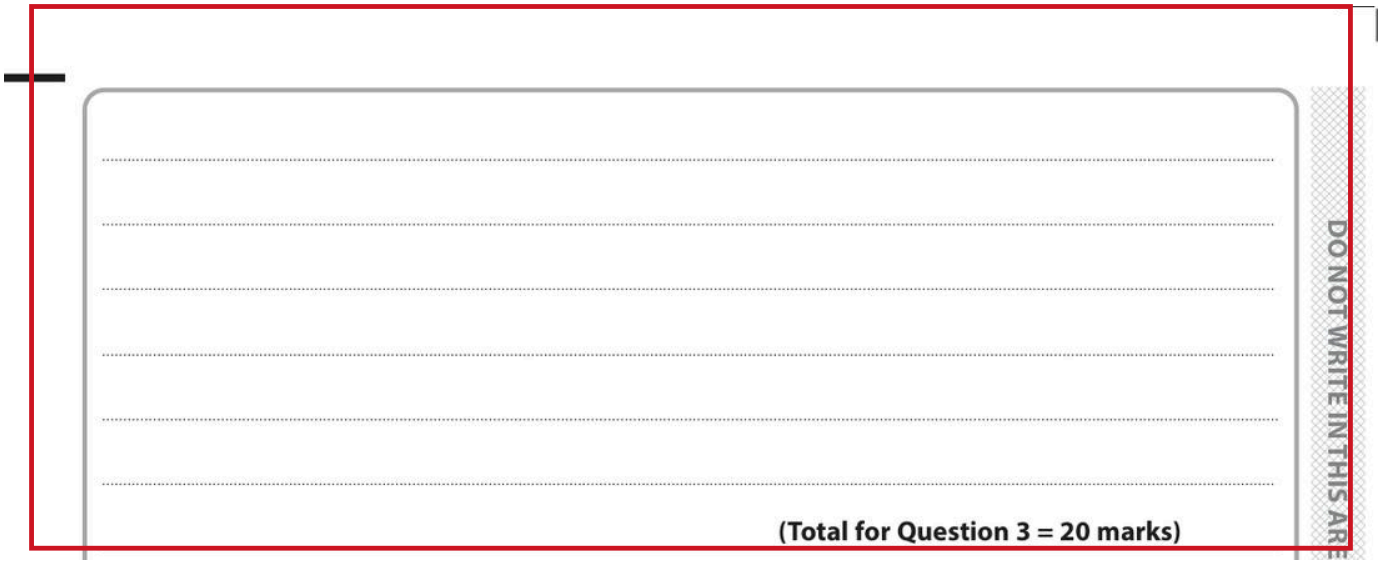
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29. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.



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29. Question 3 · part e · 9 marks · Working and answer

Working and answer

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30. Question 2 · part f · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) State **one** reason why *Starbucks* should have good communication with its customers.

(1)

(b) State **one** way *Starbucks* could follow health and safety legislation.

(1)

(c) Explain **one** reason why many manufacturing businesses use just-in-time (JIT).

(3)

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30. Question 2 · part f · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

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(d) Explain **one** reason why it is important that businesses pay their suppliers on time.

(3)

(e) Explain **one** effect on a business if interest rates are decreased.

(3)

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30. Question 2 · part f · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

Starbucks wants to ensure that its employees remain with the business. To do this it is considering the following two methods:

Option 1: financial methods

Option 2: non-financial methods.

(f) Justify which **one** of these two methods *Starbucks* should choose.

(9)

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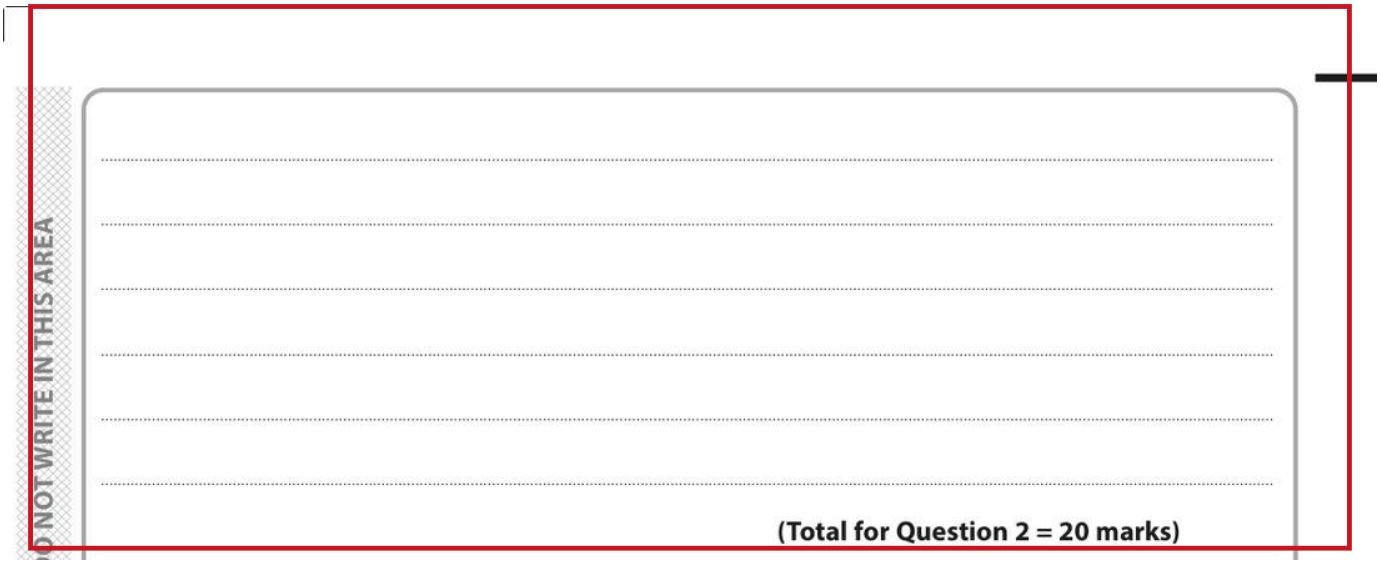
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30. Question 2 · part f · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.



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30. Question 2 · part f · 9 marks · Working and answer

Working and answer

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31. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

4 **Figure 1** is an extract from *Irsi Chocolatier*'s Statement of Comprehensive Income.

Revenue	€330 606
Gross profit	€80 282
Other operating expenses	€12 692

Figure 1

(a) Calculate, to two decimal places, the operating profit margin. You are advised to show your working.

(2)

.....%

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31. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

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(b) Analyse the importance of place to *Irsi Chocolatier*.

(6)

OLevels.com SCHOOL

31. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

Irsi Chocolatier is a business with three loyal employees. As it expands it wants to ensure its current and new employees remain happy and motivated within the workplace.

(c) Evaluate the impact of *Irsi Chocolatier* using financial methods of motivation on its employees. You should use the information provided as well as your own knowledge of business.

(12)

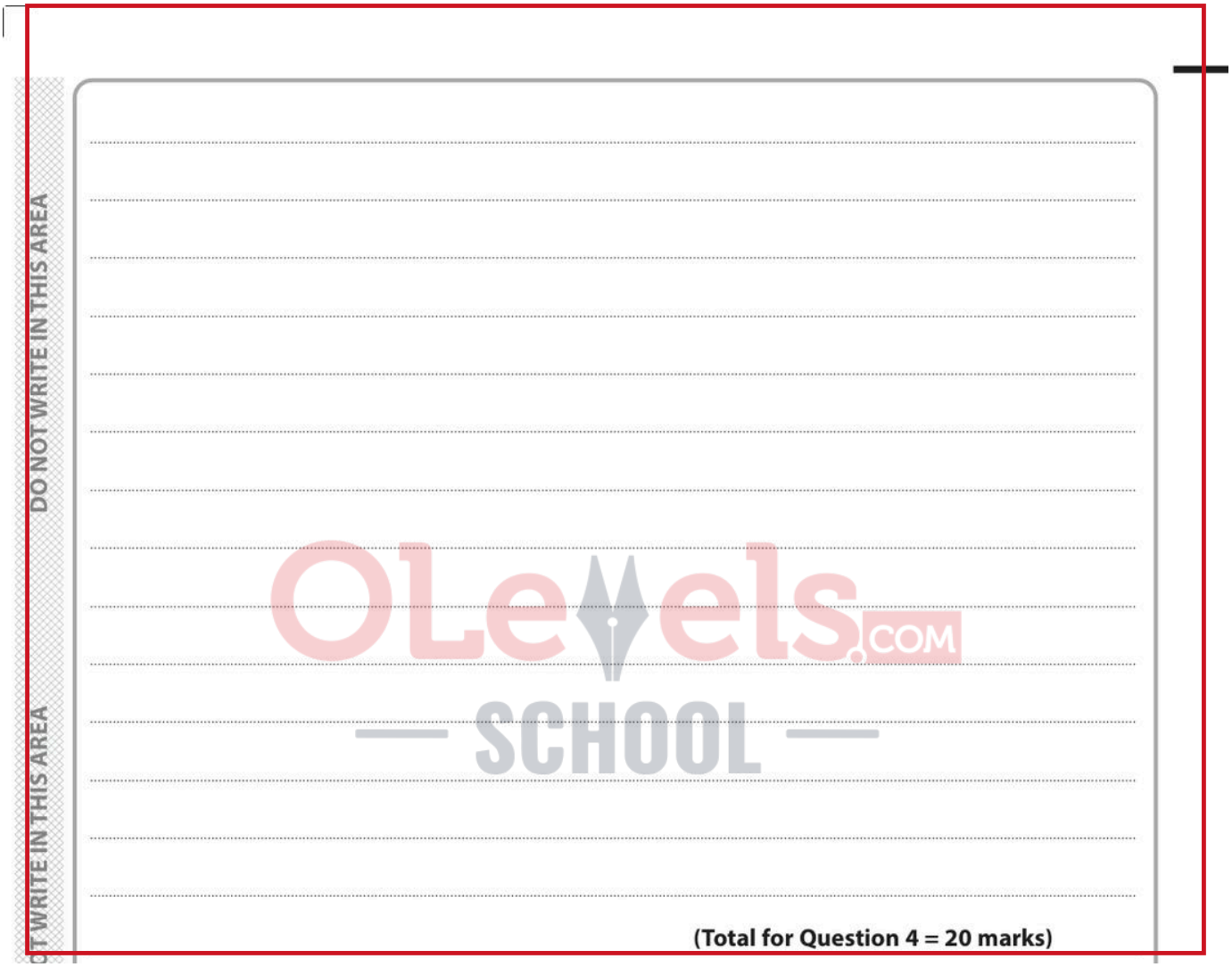
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31. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.



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31. Question 4 · part c · 12 marks · Working and answer

Working and answer

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